

5-2b Subsidiary Ledgers

The accounting system for retail businesses is often modified to more efficiently record transactions. For example, the accounting system should be designed to provide information on the amounts due from various customers (accounts receivable) and amounts owed to various creditors (accounts payable). A separate account for each customer and creditor could be added to the ledger. However, as the number of customers and creditors increases, the ledger will become large and awkward to use.

A large number of individual accounts with a common characteristic can be grouped together in a separate ledger, called a **subsidiary ledger** (Individual accounts with a common characteristic grouped together in a separate or secondary ledger, which is used to support a controlling account in the general ledger.)

. The primary ledger, which contains all of the balance sheet and income statement accounts, is then called the **general ledger** (The primary ledger, when used in conjunction with subsidiary ledgers, that contains all of the balance sheet and income statement accounts.)

. Each subsidiary ledger is represented in the general ledger by a summarizing account, called a **controlling account** (The account in the general ledger that summarizes the balances of the accounts in a subsidiary ledger.)

. The sum of the balances of the accounts in the subsidiary ledger must equal the balance of the related controlling account. Thus, a subsidiary ledger is a secondary ledger that supports a controlling account in the general ledger.

Common subsidiary ledgers are:

- The **accounts receivable subsidiary ledger** (The subsidiary ledger containing the individual accounts with customers; also called the *customers ledger*.)
, or *customers ledger*, lists the individual customer accounts in alphabetical order. The controlling account in the general ledger is Accounts Receivable.
- The **accounts payable subsidiary ledger** (The subsidiary ledger containing the individual accounts with suppliers (creditors); also called the *creditors ledger*.)
, or *creditors ledger*, lists individual creditor accounts in alphabetical order. The controlling account in the general ledger is Accounts Payable.
- The **inventory subsidiary ledger** (A supporting ledger to the inventory account, containing an individual account for each inventory item.)
, or *inventory ledger*, lists individual inventory by item (bar code) number. The controlling account in the general ledger is Inventory. An inventory subsidiary ledger is used in a perpetual inventory system.

Most retail companies also use computerized accounting systems that record similar transactions in separate journals, which generate purchase, sales, and inventory reports. These separate journals are called

special journals (Journals designed to be used for recording a single type of transaction that occurs frequently.)

. However, for simplicity, the journal entries in this chapter will be illustrated using a two-column general journal.

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